

grounds for a motion to strike shall appear on the face of the challenged pleading or matter which the court is required to take judicial notice. (C.C.P., § 437.)

The motion to strike is moot based on the court sustaining the operative complaint in its entirety with leave to amend.

5.

CASE #	CASE NAME	HEARING NAME
CVPS2603134	RIVCO MECHANICAL SERVICES, INC. VS CLARK	DEMURRER ON CROSS-COMPLAINT OF MATT CLARK... BY RIVCO MECHANICAL SERVICES, INC.

Tentative Ruling: Sustained.

Cross Complainant/Defendant Matt Clark is granted leave to file a 1st Amended Cross Complaint within 10 day of this order becoming final.

Plaintiff Rivco Mechanical Services, Inc. employed Defendant Matt Clark. Clark was a longtime trusted managerial-level employee at who while still employed by Rivco decided to leave and join a competitor. Rivco alleges that in the run-up to his departure, Clark secretly engaged in more than 950 file-access events in Rivco's confidential database and Microsoft business systems and accessed, downloaded, photographed, copied, or transmitted confidential files on multiple occasions, including files containing customer agreements, service-visit history, contract renewal dates and terms, customer contact information, pricing information, and other proprietary business data. Rivco alleges Clark also wrongfully removed, concealed, retained, or destroyed the original of the Employee Confidentiality Agreement ("Agreement") he had signed when hired in 2018. After, on November 4, 2025, Clark voluntarily resigned as a Rivco employee, he joined competitor EMCOR Services Mesa Energy ("EMCOR") and has used or threatened to use misappropriated trade secrets and confidential information to unfairly compete with Rivco, causing Rivco to lose customers, contracts, and business opportunities.

On April 7, 2026, Rivco filed this action. On June 11, 2026, it filed its operative First Amended Verified Complaint ("FAC") which pleads four (4) causes of action against Clark: 1) Misappropriation of Trade Secrets (Civ. Code §§ 3426, et seq.); 2) Breach of Contract; 3) Intentional Interference with Contractual Relations; and 4) Violation of Unfair Competition Law (Bus. & Prof. Code § 17200, et. seq.) Rivco seeks damages believed to be in excess of \$1,200,000 along with exemplary damages, attorney's fees, and temporary, preliminary, and permanent injunctive relief.

On July 10, 2026, Clark filed is Cross-Complaint ("XC") alleging three (3) causes of action: 1) Declaratory Relief (Code of Civ. Pro. § 1060); 2) Violation of Bus. & Prof. Code § 16600.5; and 3) Unfair Competition (Bus. & Prof. Code § 17200). Clark alleges the Agreement purports to prohibit him, for one year after termination of his employment for any reason, from contacting or soliciting any business or individual who has been a customer or prospect of Rivco's business, and from calling on, soliciting, or inducing any employee or officer of Rivco to terminate his or her employment (the "Restrictive Covenant") which is void and unenforceable.

Rivco now demurs to all three causes of action in Clark's XC. (C.C.P., § 430.10(e).) It argues the pleading rests on a false premise that Rivco is attempting to enforce paragraph 4 of the Agreement as a non-compete or bare customer non-solicitation covenant when in fact Rivco expressly alleges that it does not seek to enforce that paragraph but instead seeks relief for Clark's misuse of protected information, breach of confidentiality and company-property obligations, and other independently wrongful conduct. Rivco argues the 1st cause of action is

overbroad and duplicative as it seeks to repackage defenses already joined in its FAC. It argue the 2nd cause of action fails because it would impose retroactive civil-liability, damages, and fee consequences for historical execution of an agreement years before Bus. & Prof. Code, § 16600.5 became effective and does not allege any lost opportunity caused by the attempted enforcement of the Agreement. As to the 3rd cause of action, the UCL claim fails because Clark required facts showing injury in fact, lost money or property, causation, restitution, or any private damages, penalty, or fee remedy.

Clark opposes and argues Rivco's demurrer asks the Court to do what a demurrer cannot do: accept as true Rivco's characterization of its own FAC and then reject the well-pleaded allegations of the XC simply because they conflict. On the 1st cause of action, Clark argues he pleads an actual, prospective controversy because the one-year covenant by its terms runs through November 4, 2026; Clark is employed by EMCOR today; and Rivco has placed the covenant before the Court. As to the 2nd cause of action, a cease-and-desist demand, a verified complaint attaching the covenant, and a prayer for \$1,200,000 and an injunction are conduct occurring well after January 1, 2024 and whether Rivco's litigation is an attempt to enforce a void restraint is a question of fact that cannot be resolved on demurrer. Clark asks the Court to overrule the demurrer or grant leave to amend.

Clark opposes on the ground that the motion is its demurrer under another name, that matter that is essential to a cause of action should not be struck, and that most specifications target the very allegations that constitute his three causes of action and the remedies § 16600.5(e) and § 17203 expressly authorize. Clark states he consents to striking the wage-and-expense clause of paragraph 25, the corresponding phrase in paragraph 26, and the Labor Code references in prayer paragraphs 5 and 6." (Oppo., 5:14-18.) Clark asks the Court to deny the balance or grant leave to amend.

In reply in support of the demurrer, Rivco argues that Clark's XC pleads no ultimate fact showing that Rivco is enforcing paragraph 4 as a bare post-employment customer non-solicitation covenant and instead rests on the conclusory in substance label. Rivco otherwise re-argues the points presented in its moving papers.

Demurrer

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; C.C.P., § 430.10, subd. (e).) To sufficiently allege a cause of action, a complaint must allege all the ultimate facts--that is, the facts needed to establish each element of the cause of action pleaded. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 212, superseded by statute as stated in *Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, "does not admit contentions, deductions or conclusions of fact or law." (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

1st Cause of Action – Declaratory Relief

To qualify for declaratory relief, a party has to demonstrate two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations. (*Jolley v. Chase Home Financing, LLC* (2013) 213 Cal.App.4th 872, 909.) "The [declaratory] relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action. The object of the statute is to afford a new form of relief where needed and not to furnish a litigant with a second cause of action for the determination of identical issues." (*General of America Ins. Co. v. Lilly* (1968) 258 Cal.App.2d 465, 470.) When an issue can be raised by means of an affirmative defense, a trial judge may therefore dismiss a declaratory relief claim raising the same questions in the cross-complaint. (*C.J.L. Construction, Inc. v. Universal Plumbing* (1993) 18 Cal.App.4th 376, 390-391.)

Here, in his XC, Clark seeks a preemptive declaratory ruling that he is not bound by paragraph 4 of the 2018 Agreement, which he contends is void under Bus. & Prof. Code §§ 16600, 16600.1, and 16600.5. As Rivco argues Clark pleads no facts showing that Rivco is attempting to enforce paragraph 4 as a bare post-employment customer non-solicitation covenant. However, the only allegations are legal conclusions. (See XC, ¶¶ 17-19.) On demurrer, the court assumes the truth of properly pleaded material facts but does not assume the truth of contentions, deductions, or conclusions of law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311.) The XC alleges no concrete facts showing that Rivco demanded Clark cease working for EMCOR or otherwise threatened enforcement of paragraph 4 separate from alleged misappropriation claims.

What remains after disregarding these legal conclusions are the following facts: Rivco attached the Agreement to its verified FAC, filed claims for trade secret misappropriation and breach of contract, and seeks damages and injunctive relief. However, Rivco expressly disclaims enforcement of paragraph 4 as a standalone noncompete in its verified FAC at ¶¶ 19 and 55. binding admissions that narrow the scope of Rivco's case. Rivco expressly disclaims seeking to enforce paragraph 4 as a standalone non-compete restraint and limits its claims to alleged misuse or threatened misuse of protected information, breach of confidentiality obligations, breach of company-property obligations, and other independently wrongful conduct. (FAC. ¶ 55.) These disclaimers are part of Rivco's own verified complaint and establish the theory and scope of its claims. Clark cannot manufacture an actual controversy over paragraph 4 enforcement by alleging the legal conclusion that Rivco's trade secret claims are in substance non-compete enforcement when Rivco has expressly narrowed its theory away from that characterization.

Rivco also correctly contends that even if an actual controversy exists on the present allegations, declaratory relief is unnecessary and improper under C.C.P., § 1061 because all issues concerning paragraph 4 will be necessarily resolved in the main action. Under C.C.P., § 1061 the court may refuse to exercise the power to grant declaratory relief where such relief is not necessary or proper at the time under all of the circumstances. (*California Ins. Guarantee Assn. v. Superior Court* (1991) 231 Cal.App.3d 1617, 1623-1624.)

Finally, Rivco overbreadth objections to the requested declarations also merit attention, though they do not defeat the entire first cause of action. Even if some requested language sweeps too broadly, that attacks the scope of the declaration or prayer, not the existence of an actual controversy concerning paragraph 4 itself. A demurrer is not the proper vehicle to attack only part of a cause of action, and overbreadth in requested declaratory language is ordinarily addressed by motion to strike or narrowing at judgment rather than by sustaining a demurrer to the entire cause of action. (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047.) SUSTAINED

2nd Cause of Action – Violation of Bus. & Prof. Code § 16600.5

Section 16600 of the Business and Professions Code provides that “[e]xcept as provided in this chapter, every contract by which anyone is restrained from engaging in a lawful profession, trade, or business of any kind is to that extent void.” (*Id.*, subd. (a).) This statute did not set forth a private right of action for damages or civil penalties, but in 2023 the Legislature created a new cause of action to protect employees from noncompete agreements: “An employer that enters into a contract that is void under this chapter[, which includes Business and Professions Code section 16600,] or attempts to enforce a contract that is void under this chapter commits a civil violation” (*id.*, § 16600.5, subd. (d), italics added, enacted by Stats. 2023, ch. 157, § 2), and “[a]n employee ... may bring a private action to enforce this chapter” (§ 16600.5, subd. (e)(1)). Business and Professions Code section 16600.5, subdivision (d) specifically makes the entry of a contract with the void term a civil violation.

Here, Rivco first challenges this claim on the ground the statute does not apply retroactively to the 2018 execution of the agreement. Section 16600.5 became effective on January 1, 2024 and the Agreement was executed in May 2018. Therefore, the entered into prong of section 16600.5, subdivision (d), targets the completed historical act of contract formation. Indeed, Clark concedes the claim is not based on execution of the agreement. (Oppo., 2:3.)

Next, it argues the Clark has failed to allege Rivco is attempting to enforce paragraph 4. Indeed, the allegations state legal conclusions rather than ultimate facts. The XC alleges that Rivco attempts to enforce and leverages the restraint, but alleges no facts showing what enforcement conduct occurred separate from the filing of trade secret misappropriation claims. (XC ¶¶ 14, 15.) Moreover, the FAC expressly states that Rivco does not seek to enforce paragraph 4 as a bare post-employment customer non-solicitation covenant independent of misuse or threatened misuse of protected information. (Comp. ¶ 55.) While the court may not accept that statement as true for purposes of resolving disputed facts, Clark must still plead facts showing conduct that constitutes attempted enforcement, such as demands to cease competition based on paragraph 4, threats to enforce the restraint separate from trade secret protection, or other conduct demonstrating restraint of employment or business activity independent of information misuse.

SUSTAINED

3rd Cause of Action – Unfair Competition (Bus. & Prof. Code § 17200)

“The UCL permits civil recovery for any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising . . . Because Business and Professions Code section 17200 is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent. . . By defining ‘unfair competition’ to include any unlawful act or practice, the UCL permits violations of other laws to be treated as independently actionable as unfair competition. [A]n ‘unfair’ business practice occurs when that practice offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers. An unfair business practice also means the public policy which is a predicate to the action must be tethered to specific constitutional, statutory or regulatory provisions. A fraudulent practice under the UCL require[s] only a showing that members of the public are likely to be deceived and can be shown even without allegations of actual deception, reasonable reliance and damage.” (*Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal.App.4th 49, 830-31 [cleaned up].)

Here, Rivco argues this cause of action fails because Clark fails to plead any standing, no notice-caused lost money or property, and no restitutionary interest. As to standing, as Rivco argues private UCL plaintiff must plead injury in fact and lost money or property as a result of the alleged unfair competition. (Bus. & Prof. Code, § 17204; *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th

310, 320–21.) Clark alleges defense fees and costs incurred in this litigation and expenditures incurred as a consequence of Rivco’s conduct. (XC ¶¶ 15, 25.) These allegations present a standing problem. Litigation costs incurred to prosecute the UCL action itself are not lost money or property for standing purposes, they are the means of seeking a remedy, not an independent injury caused by the unfair competition. (*California Medical Assn. v. Aetna Health of California Inc.* (2023) 14 Cal.5th 1075, 1082.)

The claim depends on alleged violations of sections 16600, 16600.1, and 16600.5. (XC ¶ 25.) For the reasons stated in the analysis of the second cause of action, section 16600.5 presents problems concerning retroactive application and lack of factual pleading of attempted enforcement.

Moreover, UCL remedies are limited to restitution and injunctive relief. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1144.) Restitution requires money or property that the defendant acquired from the plaintiff. Clark has not alleged any money or property that Rivco acquired from him through the alleged unfair practices. Defense fees paid to Clark’s own attorneys are not funds or property Rivco acquired. SUSTAINED

Leave to Amend

The real issue is leave to amend. Cross-Defendants insist that leave to amend is not appropriate. Leave to amend is properly allowed under ordinary circumstances when, as here, the demurrer is the first challenge to the pleadings. “If the plaintiff has not had an opportunity to amend the complaint in response to the demurrer, leave to amend is liberally allowed as a matter of fairness, unless the complaint shows on its face that it is incapable of amendment.” (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747; see also *King v. Mortimer* (1948) 83 Cal.App.2d 153, 158 [on demurrer to original complaint, “unless it shows on its face that it is incapable of amendment, denial of leave to amend constituted an abuse of discretion, [Citations] irrespective of whether leave to amend is requested or not”].)

As this is the first challenge to the pleading, and Clark may have additional facts, the court will grant one additional opportunity for leave to amend.